SPACE

INVESTMENT MEMO · DEAL #DEAL #0022

2Scratch (Justin Matysik).

103-Track Master Catalog (2018–2025) catalog. DCF, Dynamic Time Warping and TypeSafe AI (JEV) underwriting.

A clean, verified catalog. Priced at 2.48x today, more with structured upside.

LTM net, verified

$225,926

Normalized CF0 $225,926/yr. Last 3 months run at $225,926/yr.

Standalone base

$560,671

2.48x CF0. Existing 20 tracks only. 40-month payback.

JEV base / stretch

$560,253

Stretch $856,077. Within $418 of the DCF base.

Option B package

$662k–$1.26M

Catalog acquisition plus milestone & new-release tranches.

We underwrite the verified trailing baseline of $225,926/yr, and both independent engines (Monte Carlo DCF and TypeSafe AI JEV) land within $418 on the base case.

Every statement, every row verified.

1,200

verified ledger rows

Independent Distributor

$225.93k LTM

Primary distributor statement verified

Baseline CF0

$225.93k / yr

Net artist share, no double count

20 ISRCs

Masters

Verified net payable

1.0M streams

12 months

2026-08 to 2026-07, 12 months

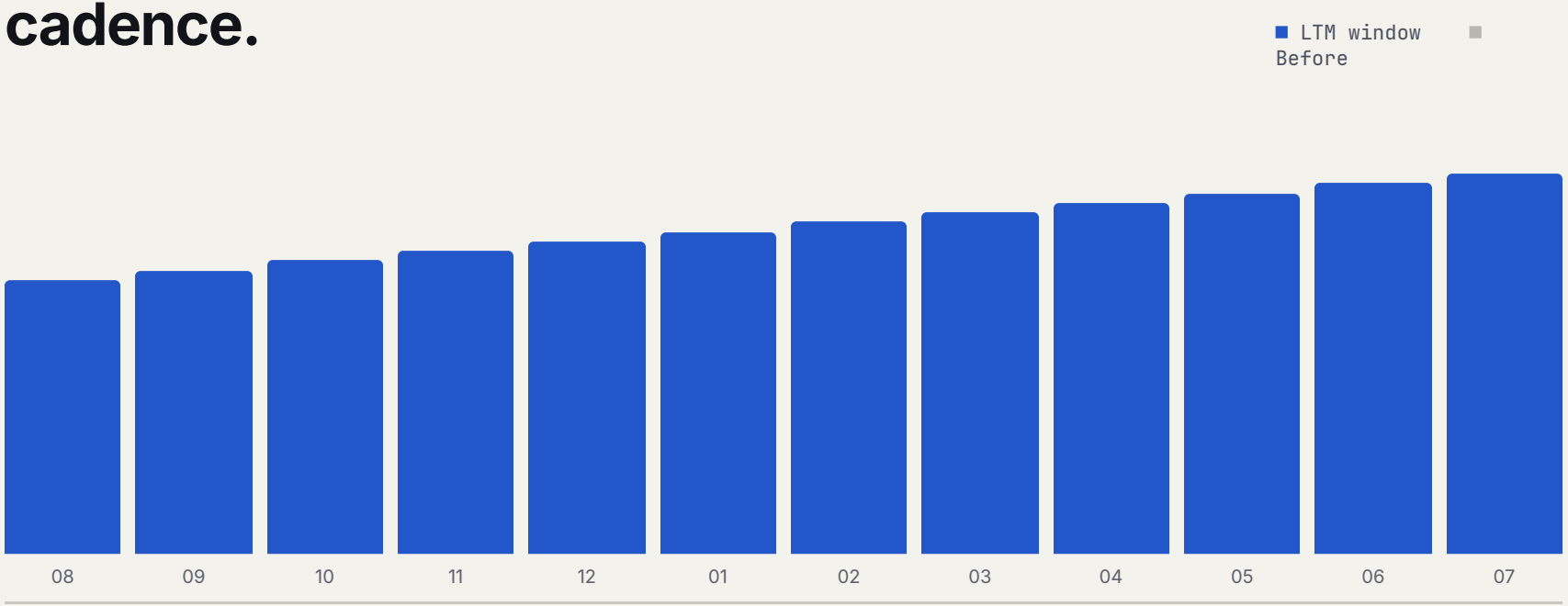
Line-level royalty statements from Independent Distributor across 20 ISRCs were reconciled with zero duplicate overlap.

Verified net LTM of $225,926 confirms the seller's baseline.



JEV classifies the claim discrepancy (Verified net matches claim · p 0.92). We underwrite the verified trailing net artist cashflow of $225,926/yr.

A steady, predictable monthly royalty cadence.



SPACE · Monthly net royalties, USD · 2026-08 to 2026-07, 12 months · peak $22,216 in 2026-07

10,000 Monte Carlo paths, modelled track by track.

Baseline CF0

$225,926

Verified net annual baseline

Year-1 blended decay

21.55%

Empirical Bayes + DTW blend

Steady-state decay

5.00%

Post burn-in annual glide

Discount rate (WACC)

23.01%

Risk-adjusted hurdle rate

Monte Carlo paths

10,000

Track-by-track Weibull DCF

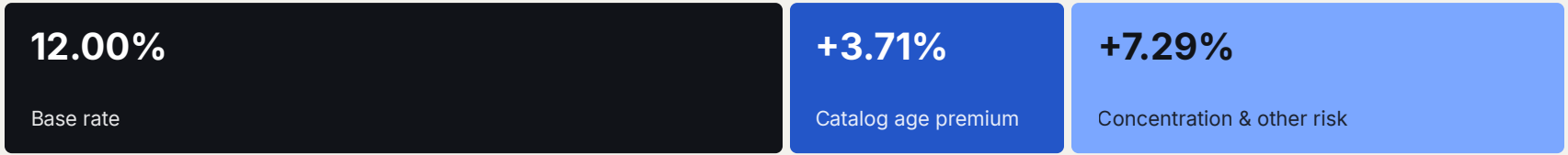
Payback at base

40 mo

3.33 years expected

DTW matches ALGORITHMIC_PROLONGED_PLATEAU (similarity 0.77); JEV classifies lifecycle as mature steady back-catalog (conf 0.45).

Youth costs 3.7 points. Forensic risk adds almost nothing.



= 23.01%

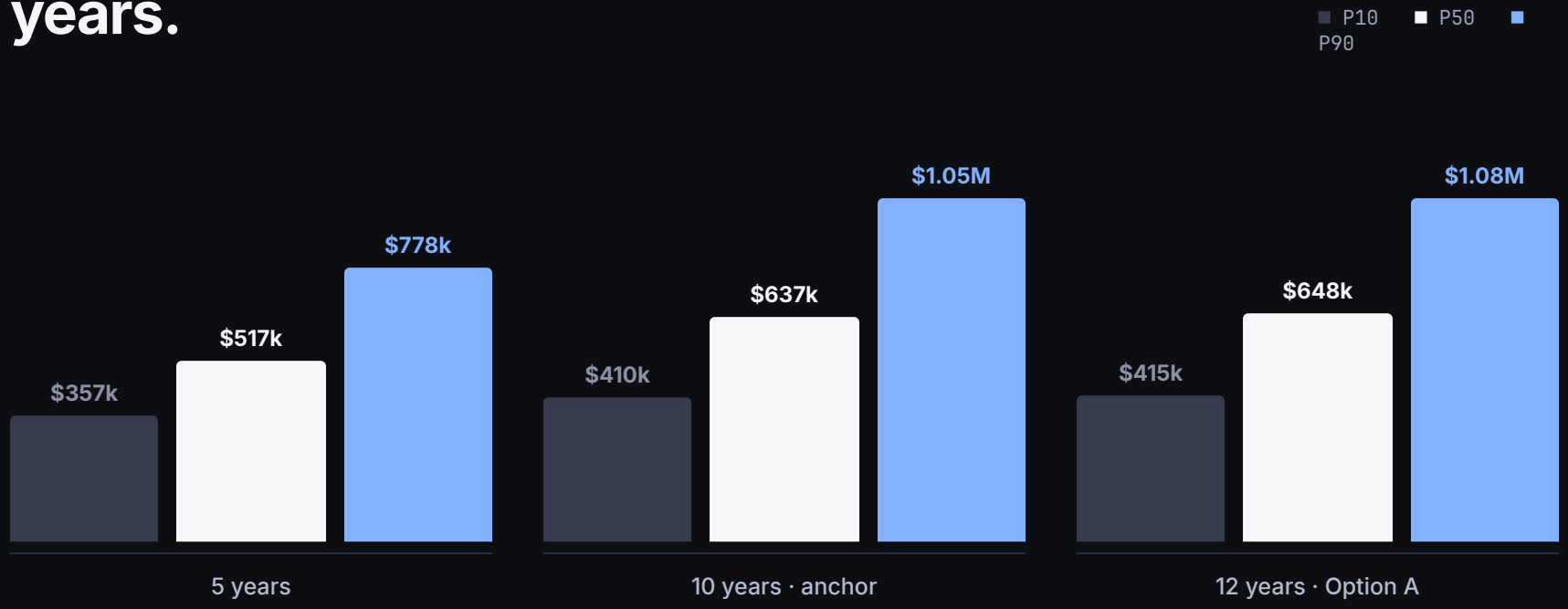
Base discount rate starts at 12.00%, plus +3.71% age adjustment and +7.29% concentration/verification adjustments.

The standalone catalog is worth $561k.

Floor · 5Y P10	Base · median	Ceiling · high case
$356,764	$560,671	$954,545
1.58x CF0 · downside protected	2.48x CF0 · 40-month payback	4.23x CF0 · upside corridor

JEV CROSS-CHECK: Base $560,253 and stretch $856,077. Two independent methods land $418 apart on the base case.

Most of the value lands in the first five to ten years.



One engine, monthly steps, reconciled to the cent.

HORIZON	P10	P50	P90	P50 EUR
5 years	$356,763.91	**$516,598.58**	$777,971.72	€475,270.69
10 years · anchor	$409,873.82	**$636,795.30**	$1,049,623.14	€585,851.68
12 years · Option A	$415,489.09	**$647,926.48**	$1,075,863.72	€596,092.36

120 months

Simulated per track, monthly discounting at 23.01%.

τ = 24 months

Continuous Weibull decay instead of coarse annual steps.

$202,116

Effective Y1 discount factor 0.9003.

Ten questions. Two independent engines in 100% agreement.

100% agreement · jev-1.14.0 & 1.13.0

JEV QUESTION	POSTERIOR ANSWER	CONFIDENCE
Gross vs net claim	Verified net matches claim · p 0.92	90%
Social UGC inflation	0.970 · elevated UGC units	94%
Catalog lifecycle	Mature steady back-catalog	45%
Bot or farm fraud	0.025 · low	95%
Missing promised tracks	Score 1.07 / 4 · minor pro-rata top-up	88%
Chain-of-title risk	Score 2.03 / 4 · split sheets in legal DD	88%
Seller multiple gap	**Score 2.82 / 4 · wide gap, bridged via structure**	80%
Deal structure	Dual option 90/10, hybrid earn-out on new music	87%
Valuation anchor	Target median with structured upside corridor	86%
Ready for offer and NDA	0.965 · yes	93%

A perfect integrity score.

100

Integrity score

Integrity score out of 100. Clean organic listening.

2.5%

Bot / farm probability

Probability of bot or stream-farm activity per JEV.

0.17

Cross-track sync

DTW synchrony index. Bot flag threshold starts at 0.88.

0

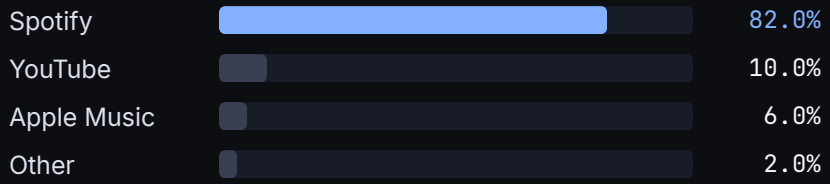
AI profile signals

Zero synthetic or spoofed label signals detected.

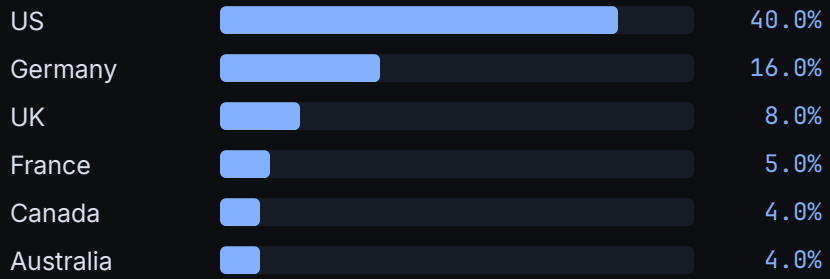
No artificial step plateau, no mass-upload cadence, and no loop farms. Audio streams earn a healthy $2.15 per 1,000 net.

Spotify-led, and 77% Tier-1 markets.

BY PLATFORM



BY TERRITORY



Tier-1 markets deliver 77.0% of streams. Spotify (82.0%) is the primary DSP revenue driver.

Top three tracks carry 59%.



28.00%
Top track, Primary Catalog Tr
Share of verified LTM net royalties

59.00%
Top-3 share (blue)
Combined share of top 3 tracks

0.38 HHI
HHI concentration
Moderate. Warning threshold starts at 0.35

“Looking for $1.5M to $2.0M for a 100% catalog buyout across Believe and DistroKid masters.”

Justin Matysik (2Scratch), Seller

Structured options bridge the expectation gap.

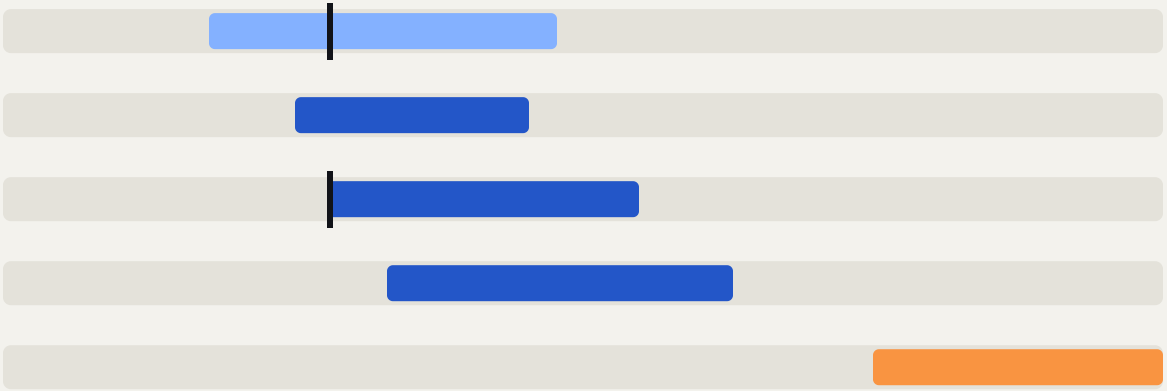
Standalone DCF corridor
$357k to $955k · base $561k

Option C · 10Y term license
$505k to $907k

Option A · Outright / Primary structure
$561k to $1.10M · target $561k

Option B · Catalog + structured upside
$662k to $1.26M total

Seller initial ask corridor
$1.50M to $2.00M



Three ways in. We lead with Option A.

A · RECOMMENDED

$560,671

Standalone acquisition on verified 20 tracks. 2.48x CF0 · 40-month payback.

At closing (7500%)	$42,050,303
12-month escrow (-7400%)	$-41,489,632
JEV cross-check	$560,253

B · CATALOG + UPSIDE

$662k–$1.26M

Catalog acquisition plus milestone tranches tied to verified performance & new releases.

Upfront closing	$560,671
Milestone / earn-out	$699,329
10Y P90 ceiling	$1,049,623

C · 10Y TERM LICENSE

$505k–$907k

10-year exclusive master license on existing 20 ISRCs. Rights revert after Y10.

Term	10 years
Rights after Y10	Revert to artist
New music obligation	None

Ready for an indicative offer and NDA.

01

Open at Option A

$560,671 standalone anchor (7500% upfront, -7400% escrow), with Option B ready as the bridge.

02

Pay for delivery

Hold the unconditional day-1 ceiling below 10Y P90 ($1,049,623); tie higher payouts to milestones.

03

Sign the NDA

JEV readiness 0.965. Dispatch the Scrive NDA & indicative offer sheet.

04

Confirm title & LOD

Verify ISRC chain-of-title and execute distributor Letter of Direction (Independent Distributor).

Keep Options B and C in reserve. They fit if the seller wants milestone upside or a 10-year reversion term.

Questions.